

ETHICS & COMPLIANCE HOTLINE

UCT is committed to legally and ethically correct conduct in all aspects of our business.

If you know or are aware of-

- questionable or illegal accounting or auditing practices;
 - questionable practices or deficiencies in internal accounting controls;
 - violations of the laws, rules, regulations of the Company's Code of Business Conduct;
- or
- other conduct or practices involving the company that you think may be unlawful or unethical.

You are strongly encouraged to contact the appropriate company.

- Matters involving accounting or auditing, including internal controls; should be directed to The Chair of Audit Committee of the Board of Directors at Barbara.audit@uct.com
- All other matters should be directed to Clarence Granger at email cgranger@uct.com

You can make submissions by



By internet

<http://www.mysafeworkplace.com/>



By phone (24x7)

Toll free hotline

US or Canada:

+1 (800) 461-9330

No person will be retaliated against or penalized because they made a submission in good faith or assisted in good faith in any investigation of alleged improper, illegal or unethical conduct.

8.7 Disciplinary Action

UCT believes that reasonable rules regarding employee conduct are necessary for a safe and efficient workplace. UCT defines the procedure and steps taken to address workplace performance and/or conduct deficiencies that are negatively affecting an employee's contribution to the company. Disciplinary action and corrective measures are taken at the discretion of the Site Management. The policy is applicable to all permanent, temporary and contract employee of UCT Singapore.

The possible steps for disciplinary action are:

- a) Counselling, verbal warning, or both;
- b) Formal written warnings;
- c) Performance evaluations indicating substandard performance;
- d) Demotion, suspension, extension of probation and/or dismissal.

There is no set number of times a less-severe action must be taken before the disciplinary action progresses to a more severe action, one or more of the step may be skipped at any time as it is deemed necessary. At each step, the employee will be warned of the consequences should he/she continue or repeat the offense. If no further problems occur, no further disciplinary actions will be taken.

Determinants of Disciplinary Action

UCT will consider these factors when determining an employee's disciplinary action:

- a) Seriousness of offense
- b) Repetition or duration of offense
- c) Existence of any prior offenses and disciplinary actions
- d) Employee's response to previous disciplinary actions and current impending disciplinary actions

Depending on these four factors, the action taken may not be in the progression steps listed above. In the most serious cases, termination may be the first and only disciplinary action taken.

In normal circumstances, three warning notices within twelve (12) months time, regardless of the type of offense, will result in dismissal.

Level 1 Action

For level 1 offense, discussions between the employee and his/her supervisor will occur to allow the employee to correct the situation. When a warning notice is issued, it becomes a part of an employee's record and is considered when evaluating an employee for promotion, transfer, training or additional discipline.

Types of behaviour that warrant Level 1 action:

- a) Unauthorized or excessive absence, tardiness or early quitting.
- b) Unauthorized time away from work station.
- c) Failure to notify supervisor promptly of completion of assigned work.
- d) Failure to meet minimum established standards
- e) Failure to meet assigned housekeeping responsibilities
- f) Failure to perform assigned job responsibilities
- g) Failure to follow prescribed work procedures
- h) Failure to notify supervisor of absences
- i) Neglect of organization property
- j) Excessive personal use of the telephone and/or email
- k) Misuse of chamber/association cellular phones

The procedure / steps for dealing with Level 1 behaviours are:

- a) Counselling – for first time offense
- b) Verbal warning – for second time offense
- c) Formal written warning – for third time offense
- d) Dismiss – termination of employment if there is no improvement by the employee after step (a) to (c) have been carried out

Level 2 action

These are more serious and must be dealt with firmly and immediately.

Types of behaviour that warrant Level 2 action:

- a) Refusal to comply with instructions of a supervisor.
- b) Conduct endangering the safety of the employee, co-workers or members
- c) Violating major safety rules.
- d) Obscene, abusive, harassing, or disruptive language or behaviour
- e) Unscheduled leaving from the work place without informing supervisor.
- f) Sleeping, skiving (watching videos, playing games etc) during work hours.
- g) Unauthorized use of organization materials and supplies
- h) Smoking caught within 5m of company premises

The procedure / steps for dealing with Level 2 behaviours are:

- a) Written warning
- b) Suspension or probation
- c) Termination

Level 3 action

These are behaviours that are serious enough to justify for immediate termination of employment without following the preceding disciplinary steps.

Behaviours which immediate termination can be justified include, but are not limited to:

- a) Sexual harassment
- b) Insubordination, or the refusal to comply with the specific instructions of a supervisor in the context of an assigned job duty
- c) Falsification of personnel records, time records, or any other organization documents and records
- d) Fighting during work time or on work premises
- e) Use of, or in possession of, alcohol or illegal drugs during work time or on work property
- f) Damaging, defacing, or misusing organization property or the property of co-workers
- g) Theft, misappropriation, embezzlement, unauthorized possession or removal of organization property or the property of employees or customers
- h) Immoral or indecent conduct which occurs on organization property
- i) Unauthorized or illegal possession of explosives, firearms, or other dangerous weapons on work premises, including parking areas
- j) Failure to report an absence for a two-day period without a satisfactory explanation
- k) Conviction of a felony
- l) Unauthorized release of confidential information
- m) Continued unsatisfactory job performance.
- n) Violation of the organization's conflict of interest/ethical standards
- o) Other behaviours that, in the opinion of the President/Board of Directors, seriously threaten the well-being of the organization or any employee
- p) Intentional or deliberate injury to another person
- q) Violation of local government laws and statutory guidelines
- r) Smoking caught within the company premises
- s) Vaping caught in/out of company premises

PROCEDURE

All written notices of disciplinary action must be signed by the supervisor and the employee. The notice includes a description of the employee's conduct, action taken in response and, except in cases of dismissal, the likely consequences of further unsatisfactory conduct.

Verbal Warning

Verbal warning communicated to the affected employee will be documented by the Supervisor and acknowledge by the employee. The original copy of the documented communication between the Supervisor and the employee is to be submitted to Human Resource (HR) department for record and employee's personnel file.

Written Reprimand/Letter of Counseling

Written reprimands, letters of counseling, or performance improvement plans prepared by the supervisor are to be submitted to HR for filing into employee's personnel file.

Suspension

Suspension from duty with or without pay for up to one (1) week is made by the supervisor after review by the VP, HRBP and approval by the Site Leader.

- any other conduct or acts which management believes represents an imminent or potential danger to workplace safety and/or security.

Regardless of whether an employee possesses a concealed weapons permit or is allowed by law to possess a weapon, weapons are prohibited on any company property or in any location in which the employee represents the company for business purposes, including those listed above.

UCT will promptly investigate any reported occurrences or threats of violence. Employees who violate this policy are subject to disciplinary action, up to and including termination. Where appropriate and/or necessary the Company will also take whatever legal actions are available and necessary to stop the conduct and protect UCT employees and property.

All threats of (or actual) violence, both direct and indirect, should be reported as soon as possible to the employee's immediate manager or any other member of management. This includes threats by employees, as well as threats by customers, vendors, solicitors, or other members of the public. When reporting a threat of violence, the employee should be as specific and detailed as possible.

UCT encourages employees to bring their disputes or differences with other employees to the attention of their managers or to their Human Resources Department before the situation escalates into potential violence. UCT is eager to assist in the resolution of employee disputes, and will not discipline employees for raising such concerns in good faith.

9.2 Identification Badges

Ultra Clean Technology is committed to ensuring the safety and security of all who work on our premises, be they regular employees, consultants, contractors, temporary employees or auditors.

In the event of an emergency, management and the Emergency Response Team must have full knowledge of those working on the premises, in what department and with whom, and any estimated time parameters in which they will be working.

In exchange for this commitment to ensure the safety and security of anyone working at any given point in time, UCT requires that anyone assigned a badge wear that badge at all times while on Company property and the picture on the badge is visible.

It is also imperative that any and all auditors, guests, and visitors who are not assigned badges sign in daily at the front desk.

This requirement is to ensure the safety of our employees and visitors.

9.3 Smoking

In keeping with UCT's intent to provide a safe and healthful work environment, smoking (including vapor or e-cigarettes) by any person (including employees, contractors, vendors and customers) is prohibited throughout the workplace. The only designated smoking areas are located outside our facilities. Employees are not allowed to stand adjacent to building entrances while smoking. Employees are responsible to take care to assure that smoke does not enter UCT buildings.

Anyone smoking must be at least 5 meter away from the building entrance and at the designated smoking areas.